the proxy voting advice in light of the circumstances of the particular interest, transaction, or relationship;[217] and

- Any policies and procedures used to identify, as well as the steps taken to address, any such material conflicts of interest arising from such interest, transaction, or relationship.[218]

The rule, as adopted, reflects our intent to avoid an overly prescriptive disclosure requirement with specific monetary thresholds, in favor of a more principles-based rule that is sufficiently flexible to encompass a wide variety of circumstances that may not fall within pre-determined parameters but nevertheless could materially impact a client's assessment of the proxy voting advice business's objectivity. This approach also is consistent with the views of several commenters who favored a principles-based disclosure requirement that could more easily accommodate a variety of different facts and circumstances.[219] As such, Rule 14a-2(b)(9)(i) establishes a general standard for conflicts of interest disclosure, but allows the proxy voting advice business to apply its judgment and unique knowledge of the facts to determine the materiality of conflicts that might pose a risk to the objectivity of its advice.

The final rule also gives the proxy voting advice business flexibility to determine the precise level of detail needed about any identified conflicts of interest,[220] or whether a relationship

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[217] Rule 14a-2(b)(9)(i)(A).

[218] Rule 14a-2(b)(9)(i)(B).

[219] *See, e.g.,* letters from Baillie Gifford; CII IV; CIRCA, Glass Lewis II; ISS ("Proxy advisers should be governed by a principles-based regulatory regime. For this reason, the Commission should not require such firms to disclose specific qualitative or quantitative information or impose prescriptive standards regarding the method of conflict disclosure.").

[220] For example, the proxy voting advice business would have the discretion, on a case-by-case basis, to determine whether specific monetary amounts related to any potential and/or actual conflicts identified should be disclosed. *See* letter from CII IV ("We do not believe that proxy voting advice businesses should be required to disclose the specific amounts that they receive from the relationships or interests covered by the proposed conflicts of interest disclosures … there is no reliable evidence indicating that institutional investor clients believe that level of detail is necessary in

or interest that has been terminated should nevertheless be disclosed.[221] In each particular case, the rule gives the proxy voting advice business the discretion to determine which situations merit disclosure and the specific details to provide to its clients about any conflicts of interest identified. The key determinant will be whether the information is material to an evaluation of the proxy voting advice business's objectivity.

A more prescriptive disclosure requirement, while relying less on the proxy voting advice business's judgment, risks being either under- or over-inclusive. For instance, there may be scenarios or relationships of which we are not aware or that, at this point in time, do not exist that present or would present material conflicts.[222] Instead, by adopting a rule with materiality as its focus, we have opted for an approach that is more adaptable to varied circumstances. The concept of materiality is at the core of our disclosure framework and has served our markets and investors well. Therefore, we believe that requiring proxy voting advice businesses to base their conflicts of interest disclosures on assessments of materiality is a more effective way to ensure that their clients have sufficient information to weigh the voting advice they are given.

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all circumstances. To the extent that investors want this information, they are at liberty to seek it from the proxy advisory firm(s) they hire, and make it a condition for hiring a proxy advisor.").

We note, however, that Rule 14a-2(b)(9)(i) should not be interpreted to mean that disclosure of specific amounts would never be necessary. There may be situations, depending on the particular facts and circumstances, in which this information would be material to assessing the objectivity of the proxy voting advice and therefore should be disclosed. Similarly, the proxy voting advice business would have the discretion to determine whether the number of instances of substantive engagement it has had with existing clients as well as any other third parties providing substantive input to the proxy voting advice business as it develops its advice may have created a material conflict of interest that should be disclosed.

[221] *See, e.g.,* letter from Baillie Gifford ("A more principles-based requirement is preferable because whether a matter is material to the proxy advice will depend on the facts and circumstances. For example, in some situations it may be relevant that a proxy advisor had an historical relationship with a registrant, albeit that the relationship is no longer live, if the relationship were very significant in terms of duration or value. In other cases, less significant relationships will cease to be relevant as soon as they come to an end. It should be for the proxy advisors to make the assessment and for their clients to understand how the advisor makes this determination as part of regular due diligence.").

[222] *See* discussion *supra* pp. 51–52.

Substantively, Rule 14a-2(b)(9)(i) is consistent with the Commission's proposal, but we have modified the wording in an effort to further simplify the requirement. We agree with a commenter who suggested that the proposed regulatory text could be streamlined to both capture the full scope of conflicts-related disclosure and retain the focus on principles of materiality.[223] Therefore, consistent with the suggestions of these commenters, the rule condenses proposed subsections (A), (B), and (C) of paragraph (b)(9)(i) into a single subsection (A) that requires disclosure of "any information regarding an interest, transaction, or relationship of the proxy voting advice business (or its affiliates) that is material to assessing the objectivity of the proxy voting advice in light of the circumstances of the particular interest, transaction, or relationship."[224]

We note that some commenters recommended ways to improve the proposal by including additional substantive requirements or specific parameters designed to more clearly indicate the disclosure obligations of proxy voting advice businesses under the rule.[225] For example, one commenter suggested that more guidance was needed regarding the timeframe for which the

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[223] *See* letter from ISS.

[224] Rule 14a-2(b)(9)(i)(A), as adopted, substantially resembles proposed subsection (C) that was designed as a catch-all to elicit disclosure of any information not otherwise captured by the other provisions of the rule regarding an interest, transaction, or relationship that would be material to a reasonable investor's assessment of the objectivity of the proxy voting advice. In addition, we note that the final amendment does not retain the concept from proposed subsection (B) providing that required disclosures would be determined using publicly available information. Although this provision was intended to limit the scope of a proxy voting advice business's disclosure obligation, we agree with commenters that any interest, transaction or relationship of which a proxy voting advice business is not already aware logically could not bias the business's proxy advice. *See* letter from ISS ("If such a search [of publicly available information] uncovers a possible affiliation ISS was not otherwise aware of, there would be no benefit to offset the cost and delay because any such relationship could not have compromised the integrity of the proxy advice in the first place.") .

[225] *See, e.g.,* letters from CEC (recommending that the rule include examples of *per se* conflicts of interest and illustrations of compliant disclosures); Mylan (recommending that disclosure be required for "every instance of substantive engagement" between a proxy voting advice business and existing clients, as well as any other third party providing substantive input regarding the proxy voting advice business's recommendations); PIRC; Prof. Li; SCG (recommending that disclosure of the dollar amount of any interest, transaction, or relationship that may present a conflict of interest for the proxy voting advice business should be required and asking for clarification of what constitutes a "material" interest, transaction, or relationship (*e.g.*, revenue, terms of the contracts, etc.)).

disclosure of conflicts should be provided.[226] As discussed above, however, we believe that a more principles-based approach will best serve to provide the clients of proxy voting advice businesses with adequate disclosure regarding conflicts while balancing the varied and unique circumstances of such businesses. We are therefore not persuaded that more prescriptive modifications are necessary or preferable to the rule, as adopted, which describes a general principle rather than delineating particular disclosure items.

Because our concern is with ensuring that proxy voting advice business clients have the ability to assess the objectivity, and ultimately the reliability, of proxy voting advice, we believe it would not serve the interests of those who depend on voting advice to place precise limits on what would be considered material information. For example, if a proxy voting advice business has been retained by a shareholder to provide voting advice regarding a registrant for which the business once provided consulting services, and if it has had no business relationship with the registrant for some years and is not seeking a business relationship with the registrant, it may be unlikely that the nature of its relationships with the registrant would be deemed material to an assessment of the business's ability to objectively advise its client. In that circumstance, the proxy voting advice business, which is in the best position to make such a judgment, would need to consider, based on the relevant facts and circumstances, whether that prior engagement is currently material and should be disclosed to clients.

Another benefit of the principles-based nature of Rule 14a-2(b)(9)(i) is that it will provide proxy voting advice businesses significant flexibility over the manner in which conflicts information is disclosed, so long as the basic requirements are met. The rule requires that prominent disclosure of material conflicts of interest be included in the voting advice to ensure

[226] *See, e.g.,* letter from Prof. Li.

that this information is readily accessible to clients and facilitates their ability to consider such disclosure together with the proxy voting advice at the time they make their voting decisions.[227] It does not, however, dictate the particular location or presentation of the disclosure in the advice or the manner of its conveyance as some commenters recommended.[228] Doing so would undermine our intent to give latitude to proxy voting businesses to fashion their disclosure as they judge best, in recognition of the varied circumstances in which they provide their services.

Along these lines, the final rule differs from the proposal regarding the conveyance of conflicts disclosure. As proposed, the rule would have required a proxy voting advice business to include conflicts of interest disclosure "in its proxy voting advice *and* in any electronic medium used to deliver the advice,"[229] to ensure that the information is prominently disclosed regardless of the means by which the advice is disseminated. However, some commenters were concerned that this was overly prescriptive and would interfere with proxy voting advice businesses' existing conflict management policies and procedures designed to safeguard information and prevent it from undermining the objectivity and independence of the businesses' voting advice.[230] These commenters pointed out that displaying conflict disclosures in every piece of proxy advice, including written proxy research reports, would compromise the ability of proxy voting advice

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[227] A proxy voting advice business that only provides such disclosures upon request from the client would not be in compliance with the required disclosure in Rule 14a-2(b)(9)(i) and, therefore, would not satisfy the conditions of the exemptions in Rules 14a-2(b)(1) or (b)(3). We believe that imposing an affirmative duty on proxy voting advice businesses to provide the required disclosures of material conflicts of interest is consistent with obligations to disclose potential conflicts of interest in other contexts. *See* Proposing Release at 66527, n. 88.

[228] *See, e.g.,* letters from BRT; Exxon Mobil; Nasdaq; NIRI-LA; NIRI-OC; SCG; SES; TechNet.

[229] Proposed Rule 14a-2(b)(9)(i).

[230] *See, e.g.,* letters from Glass Lewis II (discussing the restrictions in place to prevent its analysts from accessing information about the interests and voting activities of Glass Lewis' owners); ISS (discussing the firewall that it maintains between its core institutional proxy advisory business and its subsidiary that provides governance tools and services to corporate issuer clients and stating that "ISS has implemented a comprehensive and robust set of conflict controls … which would be compromised if conflict information were required to be publicly disclosed, or if disclosure were required to be displayed in or on a research report, instead of 'around' the report as is currently the case").

businesses to mitigate their risk of conflicts and expressed concern that the proposal would increase compliance costs for proxy voting advice businesses.[231]

We agree that proxy voting advice businesses should have the latitude to convey their conflict disclosures to clients in a manner that does not run afoul of the businesses' own mechanisms for mitigating the risk of biased advice, such as establishing internal firewalls to maintain the objectivity of the advice, so long as their conflict disclosures are readily accessible to their clients and provided as part of the proxy voting advice they receive. Accordingly, the rule we are adopting gives a proxy voting advice business the option to include the required disclosure either in its proxy voting advice *or* in an electronic medium used to deliver the proxy voting advice, such as a client voting platform, which allows the business to segregate the information, as necessary, to limit access exclusively to the parties for which it is intended.[232]

Similarly, 17 CFR 240.14a-2(b)(9)(i)(B) ("Rule 14a-2(b)(9)(i)(B)"),[233] which requires proxy voting advice businesses to disclose "any policies and procedures used to identify, as well as the steps taken to address," any material conflicts of interest identified pursuant to subsection (A), does not specify the extent to or manner in which the required disclosure must be presented. As with the disclosures required by subsection (A), proxy voting advice businesses are given wide latitude to determine what information would best serve their clients' interests. Moreover, Rule 14a-2(b)(9)(i) is not intended to supplant or interfere with a business's course of practice and

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[231] *See id*.

[232] Rule 14a-2(b)(9)(i). This approach also accords with the views of commenters who requested that the Commission permit the proxy voting advice businesses flexibility over the manner in which they convey their proxy advice to clients. *See, e.g.,* CII IV: (" [W]e would not object to the SEC permitting the proxy voting advice businesses flexibility in the vehicle used to disseminate the disclosures to clients if the Commission believes such flexibility is appropriate to limit the competitive or other concerns that could accompany the widespread distribution of the information.").

[233] Subsection (B) of Rule 14a-2(b)(9)(i) was proposed as subsection (D), but has been re-designated in the final rule and is otherwise adopted as proposed.

standard operating procedures if it is already providing disclosure to its clients sufficient to enable them to understand the business's processes and methodology for identifying and addressing material conflicts, as well as any measures taken in light of specific conflicts identified. In addition, by giving proxy voting advice businesses the flexibility to satisfy the principle-based requirement with their existing methods of disclosure, we believe the costs of implementation should not be unduly burdensome.[234] Similarly, while the adoption of Rule 14a-2(b)(9)(i) will create an expanded compliance obligation, we do not believe it will have a detrimental effect on competition as the flexibility afforded under the final rule should allow new businesses to adapt the required disclosures to their specific business models and thus avoid imposing a significant new barrier to entry for the proxy voting advice business market.[235]

Contrary to the concerns expressed by some commenters about certain implications of the proposed amendments,[236] we note that Rule 14a-2(b)(9)(i)(B) does not require proxy voting advice businesses to include detailed compliance manuals in their proxy advice[237] or duplicative disclosures in both their proxy voting advice and in the electronic medium used to deliver such advice regarding the businesses' policies and procedures describing how they identify and address conflicts.[238] Provided the disclosure is conveyed either in its proxy voting advice or in an electronic medium used to deliver the proxy voting advice (such as a client voting platform), such

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[234] *See supra* note 197.

[235] *See supra* note 203 and accompanying text.

[236] *See, e.g.,* letters from CII ("We believe such a provision is overly broad and may in fact detract from the more important conflict information currently provided by proxy advisors."); Glass Lewis. *See also* IAC Recommendation.

[237] *See, e.g.,* IAC Recommendation.

[238] *See, e.g.,* letter from Glass Lewis (expressing concern that "including a 'discussion' of Glass Lewis' conflict policies and procedures twice with each conflict disclosure," once in the proxy voting advice report and again in the electronic medium used to deliver such advice, "would be wasteful and potentially obscure the important information investors expect and would want to focus on").

that its client is able to readily access the information as it reviews and considers the voting advice, a proxy voting advice business has the discretion under the rule to choose the solution it deems suitable for each particular client. This may include, for example, a proxy voting advice business providing an active hyperlink or "click-through" feature on its platform allowing clients to quickly refer from the voting advice to a more comprehensive description of the business's general policies and procedures governing conflicts of interest.[239]

More generally, we believe that increased transparency regarding a proxy voting advice business's conflicts of interest may prompt a more informed dialogue between such businesses and their clients. For example, as a result of the increased transparency of a proxy voting advice business's conflicts of interest, clients of the business, including investment advisers, would be in a better position to understand these conflicts and how they may affect the business's proxy voting advice and other services. If this information improves the ability of the proxy voting advice business's clients to identify the kinds of information and details that would be valuable to them in assessing the business's conflicts, this dialogue may also result in a proxy voting advice business enhancing its approach to disclosure of conflicts of interest in response. Such a dynamic regarding conflict disclosure among investors (those who ultimately bear the costs and benefits of voting), clients of proxy voting advice businesses, and proxy voting advice businesses, each of which have different incentives, may increase the benefits of the rule to the shareholder voting process more generally.

C. Amendments to Rule 14a-2(b): Notice of Proxy Voting Advice and Response

The ability of investors to make informed decisions, on the basis of disclosure of material

[239] Such hyperlinked description of the proxy voting advice business's general policies and procedures governing conflicts of interest could, for example, be maintained on the business's publicly available website. *See id.* ("Glass Lewis has one set of policies and procedures that describes how it identifies and addresses conflicts, which it makes available on its website.").

information, is a bedrock tenet on which the federal securities laws were founded. This principle informs not only our consideration of this rulemaking, but also, more broadly, the proxy rules we administer[240] and, as a more general matter, the Commission's interest in the continued vitality, fairness, and efficiency of our capital markets.[241] Given the importance of the shareholder proxy in today's markets,[242] it is imperative that proxy solicitations be conducted on a fair, honest, and informed basis. Consistent with these aims, and in light of the unique role played by proxy voting advice businesses in many investors' voting decisions,[243] it is important that clients of these businesses, when making their voting decisions, have access to transparent, accurate, and materially complete information. We believe proxy voting is improved by robust discussion among parties in advance of the voting decision, similar to the vigorous engagement that may occur if all parties attended an annual or special meeting in person.

As the Commission has noted, however, a number of commenters, particularly within the registrant community, have expressed concern about the current system for providing proxy voting advice under the Commission's rules, and the resulting effect on the mix of information available to shareholders, including the ability of shareholders to benefit from robust discussion. While proxy voting advice businesses can play an influential role in shareholders' proxy voting decisions, the present proxy rules exempt them from the requirement to publicly file their recommendations with the Commission, as registrants and certain other soliciting parties must do

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[240] *See, e.g., Regulation of Communications Among Shareholders,* Release No. 34-31326 (Oct. 16, 1992) [57 FR 48276 (Oct. 22, 1992)] ("Communications Among Shareholders Adopting Release"), at 48277 ("Underlying the adoption of section 14(a) of the Exchange Act was a Congressional concern that the solicitation of proxy voting authority be conducted on a fair, honest and informed basis. Therefore, Congress granted the Commission the broad 'power to control the conditions under which proxies may be solicited' . . . .").

[241] *See supra* notes 2-5 and accompanying text.

[242] *Id.*

[243] *See* Proposing Release at 10.

for their own solicitations. As a result, some commenters have expressed concern that registrants lack an adequate opportunity to engage with and respond to influential proxy voting advice before shareholders vote, potentially inhibiting the accuracy, transparency, and completeness of the information available to those making voting determinations.[244] They also highlight what they characterize as the limited ability to address any deficiencies in proxy voting advice such as factual errors, incompleteness, or methodological weaknesses that could materially affect the reliability of proxy voting advice businesses' voting recommendations and adversely impact voting outcomes.[245]

1. Proposed Amendments

With the foregoing background in mind, the Commission proposed review and response mechanisms for proxy voting advice, as discussed below, that would apply any time proxy voting advice businesses provide voting advice to their clients in reliance on either the Rule 14a-2(b)(1) or (b)(3) exemptions from the proxy rules. By conditioning the availability of these proposed exemptions in this way, the Commission intended to (1) facilitate dialogue between proxy voting advice businesses and registrants (and certain other soliciting persons, such as dissident shareholders engaged in a proxy contest) before the dissemination of proxy voting advice to clients of the proxy voting advice business, when most shareholder votes have yet to be cast, and (2) provide a means for registrants and certain other soliciting persons to timely communicate their views about the advice to shareholders, thereby assuring that the proxy voting advice businesses' clients could consider this information along with any other data and analysis they use to make their voting decisions. More generally, these actions were intended to enhance transparency, accuracy, and completeness.

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[244] *See* Proposing Release at 41-2.

[245] *See* Proposing Release at 39, n. 94.